Your first investment playbook

Build an investment policy with goals, timelines, risk limits and a repeatable review process.

INVESTMENT RESOURCES | BEGINNER

01 / Begin with a goal, not a ticker

Investing starts with the purpose of the money. A deposit for a home in two years, a retirement goal in twenty years and an emergency reserve need different plans. Write down the goal, its current cost, the date you need the money and the amount you can contribute regularly.

Separate emergency funds from investment capital. A reserve held in an accessible, appropriate account reduces the chance of selling an investment during a market fall to pay an urgent bill. Decide its size using essential monthly expenses, income stability, dependants and insurance coverage rather than a universal number.

MAKE IT PRACTICAL
Create a goal table: goal | amount today | target year | monthly contribution | access needed. Identify which money must remain available without relying on market prices.

02 / Translate risk into a decision

Risk tolerance describes your emotional comfort with losses. Risk capacity describes whether your finances can absorb them. Your plan should respect both. A long horizon does not remove the need to meet expenses along the way.

Write a stress scenario before choosing products. If a portfolio fell 25%, would your goal become unaffordable? Would you need to sell? If the answer is yes, reconsider the allocation or contribution plan. This hypothetical is a planning exercise, not a forecast.

- List liabilities, dependants and predictable expenses.
- Separate short-term commitments from long-term goals.
- Consider inflation, liquidity, concentration and credit risk alongside price volatility.

03 / Diversify the sources of risk

A portfolio with ten similar companies can still be concentrated. Look through holdings to sectors, business drivers and asset classes. Diversification reduces dependence on one outcome; it does not guarantee a profit or prevent all losses.

Compare products using their documents: objective, underlying assets, fees, lock-in, exit conditions and risks. Do not use a recent return ranking as your entire selection process. Check the intermediary through the appropriate official register before transferring money.

MAKE IT PRACTICAL
Write down the three largest risks in your proposed portfolio. If all three depend on the same industry or economic event, explain how you would reduce that dependence.

04 / Write a one-page investment policy

An investment policy converts intentions into rules. Include the goal, contribution schedule, target allocation, permitted instruments and review dates. Decide in advance what would justify a change: a changed goal, a changed financial situation or a material change in the investment.

Review on a planned schedule and after major life events. Compare the portfolio with your goals and risk limits, not a stranger's best-performing trade. Record the reason for every change so you can distinguish deliberate decisions from reactions to headlines.

• Goal and horizon: _____

• Contribution and reserve: _____

• Allocation and concentration limit: _____

• Review date and conditions for a change: _____

05 / Before the first transfer

Read the product disclosure and check the costs you will actually pay. Keep copies of applications, confirmations and account statements. Never share passwords or OTPs with someone claiming to manage your account.

Education helps you ask better questions; it does not make every product suitable for you. These notes are general education and do not recommend a security or promise a return.

MAKE IT PRACTICAL
Explain your selected product in five sentences: what you own, how it can earn, how it can lose, how you can exit and what it costs.

Sources and further reading

Original educational guide. Examples are hypothetical; this is not personalised investment advice or a promise of returns. Free download for personal study.

SEBI Investor: https://investor.sebi.gov.in/
SEBI due diligence: https://investor.sebi.gov.in/due_diligence.html
Zerodha Varsity modules: https://zerodha.com/varsity/modules/
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